# Copilot Lifecycle & Billing Playbook

Operational Guide for Licence Management, Billing Models & Analytics Data Impact

**TL;DR — Key Facts**

- Every **M365 Copilot licence includes Viva Insights** — no separate purchase needed (Section 2)
- **50+ licences** required for full dashboard features; dropping below reverts to limited view (Section 3)
- Copilot Credits **do not roll over** — monitor weekly and set alerts (Section 4)
- When credits are exhausted, **agents are blocked immediately** — see emergency procedure (Section 4)
- Licence changes take **up to 7 days** to appear in dashboards (Section 3)

**Contents**


1. Purpose
2. Licensing Models Overview
3. Lifecycle Events — Impact on Analytics Data
4. Copilot Credits — Understanding Consumption
5. PPAC Billing Configuration
6. Admin Center Billing Reports
7. Multi-Agency Chargeback Model
8. Operational Checklist
9. References


## 1. Purpose

This playbook is an operational guide for managing Microsoft Copilot licence lifecycle events and billing models. It covers what happens to analytics data when licences are assigned, removed, or reassigned — and provides step-by-step billing configuration procedures.

Use this document alongside the main Copilot Analytics guide to ensure licence changes do not create gaps in your analytics reporting or unexpected billing charges.

## 2. Licensing Models Overview

| Licensing Model | Billing Type |
|---|---|
| **Microsoft 365 Copilot** (add-on licence) | Per-user, monthly/annual |
| **Microsoft 365 Copilot Chat** | Included in M365 subscription |
| ⚠️ **Analytics gap:** Copilot Chat is available to **all** M365 E3/E5/Business users without the paid Copilot add-on. However, usage | |
| **Copilot Studio Standalone** | Prepaid Copilot Credits subscription |
| **Copilot Studio Pay-As-You-Go** | Azure subscription billing |
| **Copilot Credits Pre-Purchase Plan** | One-year prepaid |

**Reference:** Copilot Studio Billing and Licensing

## 3. Lifecycle Events — Impact on Analytics Data

The following table describes common licence lifecycle events and their impact on Copilot analytics dashboards and Viva Insights data.

| Event | Impact on Copilot Dashboard |
|---|---|
| **New licence assigned** | User data appears in the dashboard within 7 days. Employee joins the mea |
| **Licence removed** | Employees with only a Copilot licence are removed from analysis after lice |
| **Licence reassigned to a different user** | Previous user's historical data remains in the measured period. New user |
| **Employee leaves organisation** | If Copilot licence was removed before departure, they are excluded going |
| **Agency/BU merge** | Dashboard reflects updated org data after the CSV is re-uploaded with ne |
| **Scale-up (adding 50+ more licences)** | Dashboard automatically includes new users within 7 days. No configurati |
| **Scale-down below 50 licences** | Dashboard reverts to **limited features**: only Readiness page and tenant-le |

> **Key Point:** The 7-day data appearance window is a processing delay, not a configuration requirement. No manual action is needed — the system detects new licence assignments automatically. For dashboard enablement steps, see the Implementation Guide Section 5.

**Reference:** Copilot Dashboard FAQs

## 4. Copilot Credits — Understanding Consumption

Copilot Credits are the consumption currency for Copilot Studio agent interactions and certain M365 Copilot Chat scenarios. Understanding what costs credits — and what doesn't — is essential for budget management.

### What Costs Credits

- Agent responses using Copilot Studio capabilities beyond zero-rated usage
- Tenant data grounding (SharePoint, Graph) in M365 Copilot Chat (web-based)
- Custom agent actions, plugins, and connector invocations
- Generative answers using non-M365 knowledge sources

### Zero-Rated (No Credits Required)

- Classic (deterministic) answers in Copilot Studio agents
- Generative answers using Microsoft Graph tenant grounding **when used by M365 Copilot licensed users in M365 apps** (Word, Excel, Teams, etc.)
- Standard Copilot-in-app interactions for licensed M365 Copilot users

### Credit Mechanics

- Credits reset monthly — there is **no rollover** of unused credits to the next month.
- Overage behaviour: when credits are exhausted, model runs are blocked until more credits are purchased or allocated.
- Credits are pooled at the tenant level for prepaid plans, or billed per-environment for pay-as-you-go.

> **Warning:** Credits do not roll over. Monitor consumption weekly to avoid unexpected service interruptions at month-end.

### Emergency: Credits Exhausted — Agents Blocked

If agents stop responding and users see errors, follow this resolution path:

1. **Confirm the cause:** Navigate to Power Platform Admin Center → Billing → Licenses. Check if the credit balance shows 0 or “Exhausted”.
2. **Immediate fix — Add credits:**
   - **Pay-as-you-go:** Verify the Azure subscription linked to the billing policy is active and has available budget. If the subscription spending limit was hit, increase it in Azure Portal → Cost Management.
   - **Prepaid:** Purchase additional Copilot Credits via your Microsoft account team or the M365 Admin Center → Billing → Purchase Services. Credits are applied within 1–2 hours.

3. **Prevent recurrence — Set up alerts:**
   - In **PPAC**: Billing → select the billing policy → configure usage notifications at 50%, 75%, and 90% thresholds.
   - In **Azure** (for pay-as-you-go): Cost Management → Budgets → create a budget with action group email alerts.
4. **Review consumption:** Use the Copilot Credits Activity Report in Admin Center to identify which agents consumed the most credits and whether any can be optimised.

**Reference:** Copilot Studio Message and Credit Management

## 5. PPAC Billing Configuration

Follow these steps to configure and monitor billing in the Power Platform Admin Center:

1. Navigate to admin.powerplatform.microsoft.com and sign in as a Power Platform Administrator.
2. Go to **Licensing → Copilot Studio** in the left navigation pane.
3. Review the **Summary** view:
   - 4. Prepaid capacity — total credits purchased, credits consumed, credits remaining
   - 5. Pay-as-you-go — active billing plans linked to Azure subscriptions
   - 6. Consumption trend — daily/weekly/monthly usage graphs
7. View **Capacity consumption by product** to see breakdown across Copilot Studio, M365 Copilot Chat, and other eligible products.
8. To allocate prepaid credits to specific environments:
   - 9. Select **Allocate capacity**
   - 10. Choose the target environment
   - 11. Enter the number of credits to allocate
   - 12. Confirm the allocation
13. To create a pay-as-you-go billing policy:
   - 14. Select **New billing policy**
   - 15. Link to an Azure subscription and resource group
   - 16. Assign the billing policy to one or more environments
   - 17. Set spending limits if desired

18. Use the **Agent Usage Estimator** tool to forecast credit consumption for planned agents: microsoft.github.io/copilot-studio-estimator

**Reference:** Manage Copilot Studio Messages Capacity

## 6. Admin Center Billing Reports

The Microsoft 365 Admin Center provides a Copilot Credits report that gives detailed visibility into credit consumption across your organisation.

### Accessing the Report

1. Sign in to admin.microsoft.com.
2. Navigate to **Reports → Usage → Copilot Credits**.
3. Review the report components:
    - 4. **Total credits used:** Aggregate consumption for the billing period
    - 5. **Time series:** Cumulative and daily credit consumption charts
    - 6. **Per-user breakdown:** Credits consumed by individual users
    - 7. **Per-agent breakdown:** Credits consumed by each published agent
    - 8. **Per-billing-policy:** Consumption grouped by billing policy

> **Tip:** Export the per-user breakdown to CSV and join it with your org data file to produce agency-level or cost-centre-level chargeback reports.

**Reference:** Copilot Credits Activity Report

## 7. Multi-Agency Chargeback Model

For organisations with multiple agencies, departments, or cost centres, a chargeback model distributes Copilot costs to the consuming business units.

### Option A: Org Data–Based Attribution

1. Upload org data with an `Agency` (or `CostCentre`) attribute via Viva Insights or PPAC.
2. Export the Copilot Credits report filtered by user from the M365 Admin Center.
3. Join user-level consumption data with org data to map each user's credit usage to their agency.
4. Aggregate by agency to produce the chargeback summary.

### Option B: Separate Billing Policies

1. Create separate billing policies in PPAC — one per agency.
2. Link each billing policy to a different Azure subscription or cost centre.
3. Assign environments to the appropriate billing policy based on the owning agency.
4. Each agency's Azure subscription is billed directly for their consumption.

### Quarterly Reconciliation Process

- At the end of each quarter, export consumption data from both PPAC and M365 Admin Center.
- Reconcile prepaid credit consumption against allocations per agency.
- Reconcile pay-as-you-go charges against Azure invoices.
- Review and adjust allocations based on actual usage trends.
- Produce a chargeback summary report for finance teams.

> **Note:** Option B (separate billing policies) provides cleaner cost separation but requires more administrative overhead. Option A is simpler to maintain for organisations with fewer than 10 agencies.

> **Agent Billing Governance:** For detailed credit mechanics, safe scaling patterns, irreversible billing decisions, and the billing boundary design framework, see the **Copilot & Agent Governance project** — specifically the *Agent Billing & Credit Governance* guide.

## 8. Operational Checklist

### Monthly Tasks

- ☐ Review licence utilisation in the M365 Admin Center — identify unused licences
- ☐ Review credit consumption in PPAC — check against budget thresholds
- ☐ Reallocate unused licences to requesting users or business units
- ☐ Check for blocked agent runs due to credit exhaustion
- ☐ Review new licence assignments and confirm dashboard data appearance

### Quarterly Tasks

- ☐ Audit exclusion lists in Viva Insights — remove departed employees, add new exclusions
- ☐ Review billing policies — ensure environments are assigned to correct policies
- ☐ Reconcile chargeback — produce agency-level cost reports (see Multi-Agency Isolation Architecture for partition-based chargeback setup)
- ☐ Assess scale needs — forecast licence and credit requirements for next quarter
- ☐ Review lifecycle events — confirm org data CSV reflects current organisational structure
- ☐ Document any licence model changes (e.g., shift from prepaid to pay-as-you-go)

> **Best Practice:** Create calendar reminders for these tasks and assign a named owner to each checklist item. Governance lapses most often occur when tasks lack clear ownership.

## 9. References

| Topic | URL |
|---|---|
| Copilot Studio Billing and Licensing | learn.microsoft.com/microsoft-copilot-studio/billing-licensing |
| Copilot Dashboard FAQs | learn.microsoft.com/viva/insights/org-team-insights/copilot-dashb |
| Copilot Studio Message and Credit Management | learn.microsoft.com/microsoft-copilot-studio/requirements-messa |
| Manage Copilot Studio Messages Capacity | learn.microsoft.com/power-platform/admin/manage-copilot-studi |
| Copilot Credits Activity Report | learn.microsoft.com/microsoft-365/admin/activity-reports/micros |
| Agent Usage Estimator Tool | microsoft.github.io/copilot-studio-estimator |

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